

product that you are importing is being used for one of the above-stated applications, then the import of 20 such items is still allowed!

HSN 8741: The category that has it all

If you read through the last part of the notification issued by the officials, you'd have come across HSN Code 8471. HSN stands for Harmonized System of Nomenclature. It was introduced in 1988 by the World Customs Organization (WCO) to identify and categorise traded goods. HSN 8471, as per the official definition, covers devices that are - "Automatic data-processing machines and units thereof; magnetic or optical readers, machines for transcribing data onto data media in coded form and machines for processing such data, n.e.s.". In India, this code is generally used to differentiate products that fall under Customs or Central Excise. As you would have guessed, this code covers all the devices that have been now moved to the "restricted" category of traded goods in India. Now there are a variety of devices, including storage devices, listed under this code. However, the restrictions only apply to the devices that have been specifically mentioned

WHAT IS THE INDUSTRY SAYING?

After the announcement of the change in regulations, we reached out to laptop manufacturers who are active in India, and this is what they had to say on the newly imposed restrictions on the import of laptops in India.

DELL:

"We are aware of the new regulations. Dell has been manufacturing in India for 15 years and we continue to work with the Indian Government on our plan."

ACER:

"We understand that the notice to restrict imports of laptops, tablets and other related products is a start of the process to accelerate Make In India. Acer as one of the leading computer and tablet brands in the country has been manufacturing laptops, all-in-ones and tablets in India over the past few years while desktops have been manufactured in India for over 20 years at our factory in Pondicherry."

in the notification, which are - laptops, tablets, AIOs, ultra-small form factor computers, and servers.

What does it mean for you?

There are a LOT more angles to this regulation change, which I believe are best left for the law professionals to understand. For now, I believe you should buckle yourself up for a price

hike of laptops and tablets over the next few months. This is especially true for the brands that are not actively manufacturing their products in India. While Acer and Dell are brands that already were manufacturing in India, there were several others that had been importing their goods into the country.

Recently, there was a push back from these brands as well. However, the government, in their latest directive, had said that the restrictions would come into effect starting November 1, 2023.

On the back of this announcement comes the media briefing, where Ashwini Vaishnaw revealed that 32 companies have already signed up for manufacturing their goods in India, especially laptops

In the coming months, when we have a stabilised output from these manufacturing units that brands will be putting up in India, the prices of laptops and other goods should go down. I will leave the cost analysis for the experts to figure out, but from what limited knowledge I have about the matter, reduced pricing of laptops and tablets could be closer than ever! All we can do now is wait and watch. 

WHAT IS ALLOWED?

- **IMPORT OF DEVICES* PURCHASED VIA E-COMMERCE PORTALS**
- **IMPORT OF DEVICES* AS A PART OF BAGGAGE OF INDIVIDUALS**
- **IMPORT OF DEVICES* MEANT FOR RESEARCH AND DEVELOPMENT, TESTING, BENCHMARKING AND EVALUATION, OR REPAIR** & MORE

* AS PER THE LATEST DIRECTIVE, THE PRODUCTS THAT ARE MENTIONED AS DEVICES IN THE CREATIVE INCLUDE - LAPTOP, TABLET, ALL-IN-ONE PERSONAL COMPUTER, ULTRA-SMALL FORM FACTOR COMPUTER

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